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China Cloud and Data Centers | Asia Pacific

Our thoughts on potential government data centre investment

Recent news reports on potential government data centre spending have sparked competition concerns for data centers and public clouds, we provide our thoughts.

What happened: On 9 June, Bloomberg [reported](#) that the Chinese government (via the NDRC) plans to invest US\$295bn (Rmb2 trillion) in data centers nationwide over the next five years to advance its AI ambitions. The report said Chinese telecom operators would build and run the infrastructure, raising market concerns about oversupply and market share loss to SOE telcos for both data centers and public clouds. However, to our knowledge, there has been no confirmation of this report from official channels yet.

Our thoughts: We think the press report may be referring to a January 2025 official government policy read through, which referenced Rmb2 trillion in spending. However, this document referred to spending on networks between data centers rather than direct data center construction investment. This is a top-down government initiative to improve data center interconnectivity.

The January 2025 policy document stated (our translation) that: *"the construction of data infrastructure will drive the construction and upgrading of networks, computing power, and security facilities and is estimated to attract investment of Rmb2trn over 5 years, or Rmb400bn per year."* For reference to the original document [see here](#).

We also believe the biggest bottleneck for China AI development is chipset production and design, rather than data center infrastructure. Finally, we note that such a shift would be in contrast to the government's current data center window guidance policy, which targets a balanced supply-demand for data centers.

[Hyperscalers such as BABA and Bytedance \(unlisted\)](#) have been gaining public cloud market share from SOE telcos due to their [better access to supply chains](#) (imported and local chips, including in-house T-head for BABA), [model capabilities](#) (Qwen for BABA, Seedance for Bytedance), and swift innovation. We do not see this trend reversing.

That said, if the Bloomberg report proved correct, we would view Rmb2 trillion of data center investment through SOE telcos as leading to significant oversupply and be a major negative for data center players.

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GREATER CHINA TELECOMS

Asia Pacific

Industry View

In-Line

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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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Gary Yu		
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China Mobile Limited (600941.SS)	E (07/06/2023)	Rmb95.97
China Telecom (601728.SS)	E (07/06/2023)	Rmb6.24
China Telecom (0728.HK)	E (01/27/2026)	HK\$5.01
China Tower Corp Ltd (0788.HK)	O (01/21/2025)	HK\$9.66
China Unicom (0762.HK)	E (01/27/2026)	HK\$7.36
China United Network Communications (600050.SS)	U (10/30/2016)	Rmb4.36
Tom Tang		
Beijing Sinnet Technology (300383.SZ)	U (05/16/2022)	Rmb12.06
China Communication Service Co Ltd (0552.HK)	E (11/12/2024)	HK\$4.09
Chunghwa Telecom (2412.TW)	E (04/29/2025)	NT\$145.00
Far Eastone (4904.TW)	O (10/16/2024)	NT\$109.00
Guangdong Aofei Data Technology Co Ltd (300738.SZ)	E (10/23/2023)	Rmb18.95
HKBN Ltd (1310.HK)	E (10/20/2025)	HK\$6.25
HKT Trust and HKT Ltd. (6823.HK)	O (12/11/2020)	HK\$11.90
PCCW Ltd (0008.HK)	E (09/07/2023)	HK\$5.68
SUNeVision Holdings Limited (1686.HK)	O (08/03/2020)	HK\$5.19
Taiwan Mobile (3045.TW)	E (01/27/2026)	NT\$119.00
VNET Group Inc (VNET.O)	O (10/04/2017)	US\$8.95
Yang Liu		
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